

		which Plaintiffs' negligent conduct contributed to the harm alleged. (Cross-Complaint, ¶ 85.) The declaratory relief claim seeks to determine relative degrees of fault based on Abas' claims of indemnity, contribution, and negligence. However, those claims have been dismissed as to Plaintiffs. Given that the other claims have been dismissed, there is no basis for declaratory relief as to Plaintiffs. (<i>Ball v. FleetBoston Financial Corp.</i> (2008) 164 Cal.App.4th 794, 800 [“Where a trial court has concluded the plaintiff did not state sufficient facts to support a statutory claim and therefore sustained a demurrer as to that claim, a demurrer is also properly sustained as to a claim for declaratory relief which is “wholly derivative” of the statutory claim.”].) On demurrer, a court determines whether the complaint states facts sufficient to constitute a cause of action. If the court sustains the demurrer, it must decide whether to grant leave to amend. Leave to amend should be granted if there is a reasonable possibility that the defect can be cured by amendment. Plaintiff has the burden of proving that there is a reasonable possibility that the defect can be cured by amendment. (<i>Blank v. Kirwan</i> (1985) 39 Cal.3d 311, 318.) Abas has not satisfied his burden of proving that there is a reasonable possibility that the defect in the pleading can be cured by amendment. Thus, the demurrer is sustained without leave to amend. Moving party shall give notice of this ruling.
2	Dong vs. Sepulveda	TENTATIVE RULING: <u>Demurrer</u> For the reasons set forth below, Plaintiff and Cross-Defendants Yanan Dong, Confident Serenity, Inc., and Xian Huang's demurrer to Defendants and Cross-Complainants Brent Sepulveda, Jami Lynn Sepulveda, and Sepulveda Builders, Inc.'s Cross-Complaint is SUSTAINED as to the 4th cause of action for breach of fiduciary duty by Brent Sepulveda and Jami Lynn Spulveda and as to the 8th cause of action for constructive trust, only. The demurrer is OVERRULED as to the 5th, 9th and 11th causes of action, and the unjust enrichment claim in the 8th cause of action. Cross-Complainants are granted 30 days leave to amend.

Statement of Law

A demurrer only tests the sufficiency of the pleadings. (*See Satyadi v. West Contra Costa Healthcare District* (2014) 232 Cal.App.4th 1022, 1028 [in analyzing a demurrer, the court looks only to the face of the pleadings and to matters judicially noticeable and not to the evidence or other extrinsic matters]).

In reviewing the propriety of the sustaining of a demurrer, the “court gives the complaint a reasonable interpretation, and treats the demurrer as admitting all material facts properly pleaded. [Citations.] The court does not, however, assume the truth of contentions, deductions or conclusions of law. [Citation.] The judgment must be affirmed ‘if any one of the several grounds of demurrer is well taken. [Citations.]’ [Citation.] However, it is error for a trial court to sustain a demurrer when the plaintiff has stated a cause of action under any possible legal theory. [Citation.] And it is an abuse of discretion to sustain a demurrer without leave to amend if the plaintiff shows there is a reasonable possibility any defect identified by the defendant can be cured by amendment.” (*Hale v. Sharp Healthcare* (2010) 183 Cal.App.4th 1373, 1379 [citing *Aubry v. Tri–City Hospital Dist.* (1992) 2 Cal.4th 962, 967]). A court will not consider facts that have not been alleged in the complaint unless they may be reasonably inferred from the matters alleged or are proper subjects of judicial notice. (*Hall v. Great W. Bank* (1991) 231 Cal.App.3d 713, 718 fn.7.)

General Allegations

Cross-Complainants allege the following:

In or about 2017-2018, SBI and Dong began doing a number of projects together in which Dong invested capital into purchasing property, SBI would build a luxury home on the property, and then the parties would jointly sell the property and share the profits. (CC, ¶ 10). In April 2019, SBI and Dong entered into an Operating Agreement (the “Kings Road Agreement”) for the creation of Kings Road, LLC, the purpose of which was to own and invest in real property located at 1210 Kings Road, Newport Beach, California. (CC, ¶ 11). A copy of the Kings Road Agreement is attached as Exhibit A. Pursuant to the Kings Road Agreement, Dong agreed to provide capital and SBI agreed to provide manpower and services to renovate the Kings Road Property pursuant to plans approved by Dong, consistent with the parties’ past practice. In exchange for SBI’s work, SBI was to receive a 40% membership interest in the entity that owned the Kings Road Property, Kings Road, LLC. The

plan was for the parties to promptly sell the property upon completion of the construction as the parties had done on its other deals so that SBI could be compensated for its work from the sale proceeds. (CC, ¶ 11).

After three years of work, SBI built a beautiful 6394 square foot luxury ocean view home on the Kings Road Property, and was owed at least \$2,595,000 for the construction of the Kings Road Property. (CC, ¶ 14).

The property was initially listed for sale at about \$12.5 million, at Dong's request. The parties received interest from several potential buyers, who offered to purchase the property at various prices below the asking price. Cross-Complainants and the real estate agents repeatedly recommended lowering the asking price to reflect the market realities. However, Dong unreasonably and without justification refused to do so, causing the home to sit idly on the market for years while SBI continued to incur the costs of maintaining the home. (CC, ¶ 16).

In May 2021, Dong's entity Confident Serenity Inc. ("CSI") and SBI entered into a similar Operating Agreement (the "430 Tustin Agreement") for the creation of 430 Tustin, LLC, the purpose of which was to own and invest in real property located at 430 Tustin, Newport Beach, California (the "430 Tustin Property"). (CC, ¶ 20). Dong agreed that SBI was owed at least \$1,590,000 for the construction of the 430 Tustin Property. (CC, ¶ 22). The property was initially listed for sale at about \$6.4 million, at Dong's request. The parties received interest from several potential buyers, who offered to purchase the property for about \$5.8-\$5.85 million in the 2023-2025 timeframe. On information and belief, those offers were within the range of fair market value at the time. Cross-Complainants and the agents repeatedly advised Dong to lower the asking price. However, Dong unreasonably and without justification refused to even consider any offers below \$6 million, which caused the home to sit on the market for years. (CC, ¶ 24).

Ultimately, SBI could no longer afford to continue maintaining the property and refused to continue doing so given Dong's repeated refusal to consider reasonable offers. Dong took over the maintenance and repair responsibilities in fall of 2025 and thereafter locked SBI out of the property of which it is 49% owner. (CC, ¶ 27).

Given Dong's actions, SBI had little choice but to obtain funding so that it could continue operating its business. Dong offered to lend SBI money and sent Cross-Complainants a promissory note

reflecting the loan (the “Note”). A copy of the Note is attached as Exhibit C. The Note dated June 15, 2023, had unreasonable and unconscionable terms such as making the Sepulvedas personally liable at a usurious interest of 1% per month. Dong forced Cross Complainants to take more money than they needed or had requested in order to increase the interest incurred to her benefit. (CC, ¶ 29).

In a good faith attempt to resolve the parties’ dispute, Cross-Complainants offered to relinquish their interests in both the Kings Road Property and the 430 Tustin Property in exchange for full satisfaction of the Note. Dong agreed to this proposal, and took full possession of both properties. Dong rekeyed the properties, refused to allow Cross-Complainants any access to the properties, and told third parties that she owned both properties outright. However, despite taking possession of the properties, Dong refused to sign any releases or acknowledgements of satisfaction of the Note, even though that was part and parcel of the negotiated deal. (CC, ¶¶ 31-32). Cross-Complainants’ counsel wrote Dong with an agreement reflecting the terms of the deal and requesting the deal be finalized and executed. Dong referred the letter to her counsel, who delayed responding for over a month until January 13, 2026. (CC, ¶ 33). While Cross-Complainants were awaiting Dong’s response to finalization of the agreed-upon deal, Cross-Complainants became aware through other means that Dong secretly had the 430 Tustin Property under escrow and had expressly instructed the real estate agents not to publicize it or make it known to Cross-Complainants (who were still 49% owner and had every right to know about the sale). (CC, ¶ 34). Counsel wrote Dong’s counsel, who represented that the property was in escrow but there was no specified date for close of escrow, yet escrow closed the very next day on January 14 at approximately \$5.75 million. (CC, ¶ 35).

Then, on January 26, 2026, Dong claimed that because of the 8% preferred return incurred in the years the 430 Tustin Property remained unsold (due to her unjustified refusal to lower the asking price), she was entitled to a preferred return of \$1,314,862.93 plus return of \$3,458,468.54 in alleged capital contributions, leaving only \$696,560.96 in net profits. Dong unreasonably offered SBI only \$341,314.87 from the net sale proceeds, despite this being far less than SBI’s out-of-pocket costs and time/labor invested and the fair market value of SBI’s work, and despite previously agreeing that SBI was due at least \$1,590,000 for its work on the 430 Tustin Property. (CC, ¶ 36).

Cross-Complainants are informed and believe that Cross-Defendants have continued to receive offers on the Kings Road Property of \$9.5

million or more and are continuing to unreasonably reject offers so they can purport to claim even more in 8% preferred returns. (CC, ¶ 38).

Standing

First, Cross-Defendants demurrer to the 4th cause of action for breach of fiduciary duty, 5th cause of action for fraud, 8th cause of action for unjust enrichment and imposition of a constructive trust, 9th cause of action for accounting and 11th cause of action for quantum meruit by Cross-Complainants Brent Sepulveda and Jami Lynn Sepulveda on the basis that they do not have standing, because there is no allegation that any compensation is owed to them as individuals, and neither Brent nor Jami is a member of either LLC.

Code Civ. Proc. § 430.10, subds. (b) and (d), provide that a party against whom a cross-complaint has been filed may demurrer to the pleading on any one or more of the following grounds: the person who filed the pleading does not have the legal capacity to sue, and there is a defect or misjoinder of parties.

“[A]s a general matter, to have standing to pursue a claim for damages in the courts of California, a plaintiff must be beneficially interested in the claims he is pursuing.” (*Limon v. Circle K Stores Inc.* (2022) 84 Cal.App.5th 671, 700).

In *PacLink Communications Intern., Inc. v. Superior Court* (2001) 90 Cal.App.4th 958, the court held: “In this case, the essence of plaintiffs' claim is that the assets of PacLink–1 were fraudulently transferred without any compensation being paid to the LLC. This constitutes an injury to the company itself. Because members of the LLC hold no direct ownership interest in the company's assets (Corp.Code, § 17300), the members cannot be directly injured when the company is improperly deprived of those assets. The injury was essentially a diminution in the value of their membership interest in the LLC occasioned by the loss of the company's assets. Consequently, any injury to plaintiffs was incidental to the injury suffered by PacLink–1.” (*Id.* at 964 [footnote removed]).

Cross-Defendants contend that the fiduciary duties owed under the Revised Uniform Limited Liability Act (the “Act”) extend only to the other members of each LLC and Brent and Jami were not members of either limited liability company (citing to Corp. Code §17704.09). Defendants also contend that there is no basis for imposition of any affirmative duty.

In their Opposition, Cross-Complainants refer to Ex. A, the Kings Road Operating Agreement, which contains a Guaranty by both Jami Lynn Sepulveda and Brent Sepulveda, wherein they guaranteed the prompt payment of all guaranteed obligations to Yanan Dong, among other representations. (CC, Ex. A). Cross-Complainants also note that the Promissory Note to pay Yanwen Dong, the lender, was signed and is binding on both Jami Lynn and Brent Sepulveda. (CC, Ex. C).

In support of their cause of action for breach of fiduciary duty, Cross-Complainants allege that SBI and CSI are parties to the 430 Tustin Agreement. SBI and Dong are parties to the Kings Road Agreement. As the Manager and majority member of 430 Tustin, LLC and Kings Road, LLC, CSI and Dong, respectively, owed SBI and its principals (the Sepulvedas) a fiduciary duty of loyalty and disclosure. (CC, ¶ 55). They allege that CSI and Dong breached their fiduciary duties by, among other things, acting in their own personal best interests and not in the best interests of 430 Tustin, LLC or Kings Road, LLC or its members. For example, they repeatedly unreasonably rejected good offers for both the Kings Road Property and the 430 Tustin Property that were reflective of market value and would have provided a good return for the shared entities, in favor of collecting an 8% preferred return for their own personal benefit, to SBI and the entities' detriment. (CC, ¶ 56).

Cross-Complainants have not adequately explained why signing the Promissory Note or entering into the Guaranty gives them standing as to this cause of action as nonmembers of either of the LLCs. The elements for a cause of action for breach of fiduciary duty are: (i) Existence of a fiduciary duty; (ii) Breach of the fiduciary duty; and (iii) Damage proximately caused by the breach. (*Pierce v. Lyman* (1991) 1 Cal.App.4th 1093, 1101 [emphasis added]). "The allegation of a fiduciary relationship must be supported by either a contract, or a relationship that imposes it as a matter of law." (*Berryman v. Merit Property Management, Inc.* (2007) 152 Cal.App.4th 1544, 1558).

Cross-Complainants allege that the fiduciary duty owed by Cross-Defendants arises from their status as Manager and majority member of 430 Tustin, LLC and Kings Road, LLC. While they argue that they "have a beneficial interest in those claims given the individual guaranty to the Kings Road Agreement and the offsets owed under the Note" (Opp., 15:14-16), more is required for a breach of fiduciary duty claim. They must assert the existence of a fiduciary duty, and they have not provided any facts which demonstrate that they are owed a fiduciary duty arising out of the membership of the LLCs. Accordingly, the court SUSTAINS the demurrer to this cause of action as to Brent and Jami Lynn Sepulveda.

However, the court finds that Cross-Complainants have adequately alleged standing for the remaining claims.

With regards to the fifth cause of action for fraud, they allege that “Dong (on behalf of CSI and herself personally) and Huang repeatedly represented both orally and in emails and text messages to the Sepulvedas that the Sepulvedas/SBI would be fairly compensated for their construction work and would receive their agreed-upon share of the profits from any sale of the Kings Road Property and the 430 Tustin Property” and that they relied on these representations and forewent other lucrative projects in order to work on these two projects in reliance on CSI, Dong, and Huang’s representations. (CC, ¶¶ 59-62).

Because the Sepulvedas alleged that they relied on the representations, and signed the guaranty in their own capacity for the Kings Road agreement, the court finds that they have alleged standing as to the fraud cause of action.

With regards to the cause of action for unjust enrichment and imposition of a constructive trust, Cross-Complainants allege that “CSI, Dong, and Huang have been unjustly enriched at the expense of Cross-Complainants in the form of monies and other assets wrongfully obtained by CSI, Dong, and Huang.” (CC, ¶ 77). They allege that they are entitled to an order: (a) requiring CSI, Dong, and Huang, inclusive, to disgorge all funds or monies that they have and/or will otherwise unjustly obtain; and (b) imposing a constructive trust on all such funds. (CC, ¶ 79).

With regards to the cause of action for accounting, Cross-Complainants allege that they “are entitled to an accounting of all revenues, expenses, profits, and other matters related to the business of Kings Road, LLC and 430 Tustin, LLC and/or related to the Kings Road Property and the 430 Tustin Property, including an accounting of all funds or other assets obtained by CSI, Dong, and Huang, or any of them, from the sale thereof.” (CC, ¶ 81). With regards to quantum meruit, Cross-Complainants allege that the reasonable value of the goods services rendered to Cross-Defendants is in an amount of at least \$6.8 million for the Kings Road Property and at least \$5.5 million for the 430 Tustin Property. (CC, ¶ 88).

The elements of an unjust enrichment claim are the “receipt of a benefit and [the] unjust retention of the benefit at the expense of another.” (*Lectrodryer v. SoeulBank* (2000) 77 Cal.App.4th 723, 726). “A cause of action for an accounting requires a showing that a